



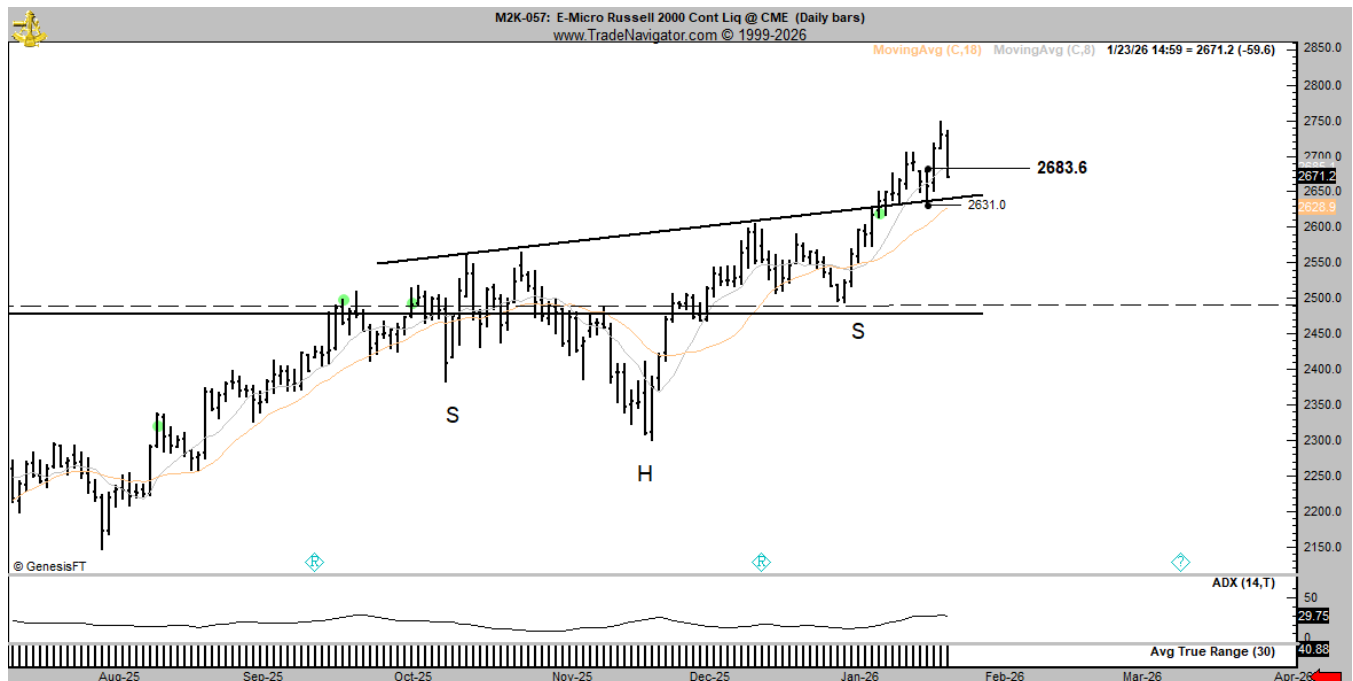
Factor Update, January 24, 2026

The Factor Update serves – along with the @Factor_Members X feed – as snippets into the trading of the Factor LLC House Prop Account focused primarily on risk and trade management, trading processes and dealing with emotions

Current Factor Prop Account positions	
- Long a half of a unit of long Gold and short NZD futures (took profit on half unit on Friday) - Long one unit of Gold futures - Short one unit of 10-Yr. Note futures	- Long two units CENX stock (split into partials) - Long one unit of Russell futures - Long one unit of CHF futures - Long one unit of KC Wheat
Markets under consideration for New Initial Positions (NIPs)	
U.S. Dollar Index futures	NY Coffee futures
Note: I express positions in relationship to the risk of total nominal capital taken on a trade. Each unit of a trade represents an initial trade risk of \$3,500 of so per \$1 million of total nominal capital. A two-unit trade represents a risk of \$7,000 per \$1M Nominal. The maximum risk taken on a trade is three units, or \$10.5k per \$1M nominal. 2026 Sequential Closed Trade NAV performance to date = 471 as of Jan 23	

Russell futures

- I stopped out of a unit, added it back, and was stopped out again – all this past week
- I hate the Russell index – it just does not trade like futures contracts
- My rule is to never take a loser home for the weekend
- Long one unit into the weekend
- You all could get wealthy fading my Russell trades



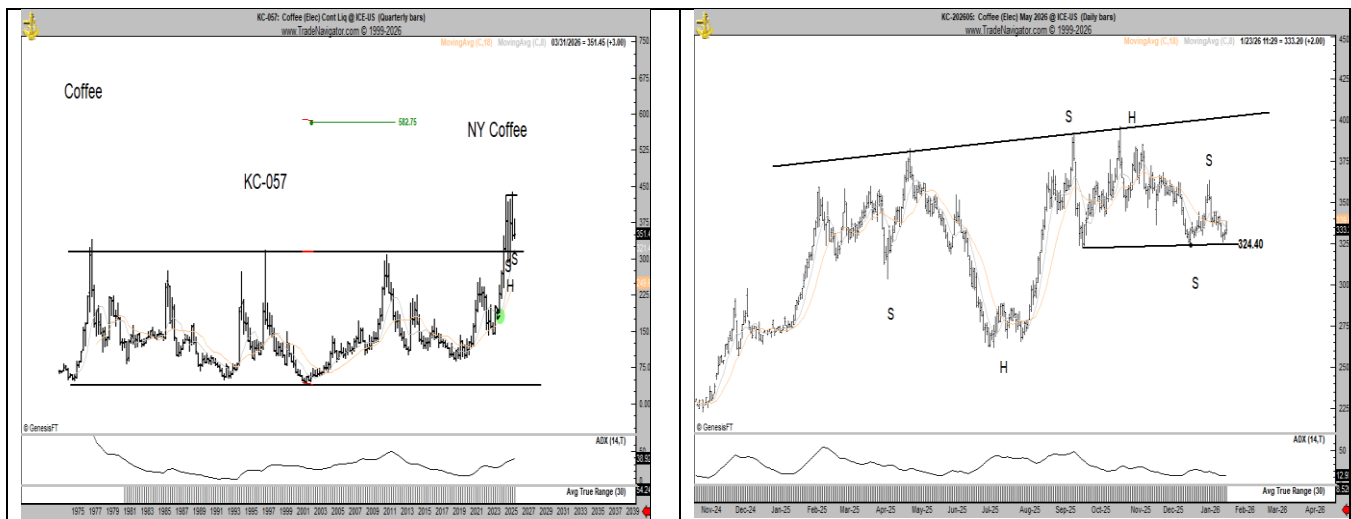
CENX-stock

- Factor is long 2 units of CENX
- I am not willing to leave it all on the table in case of a reversal, so...
- I split one of the units into two partials with advanced stops on one of the partials
- This is a monster base
- An initial target at 43.50 has been met
- Never count your chickens before they hatch
- Lots could go wrong with this trade – so do not chase it



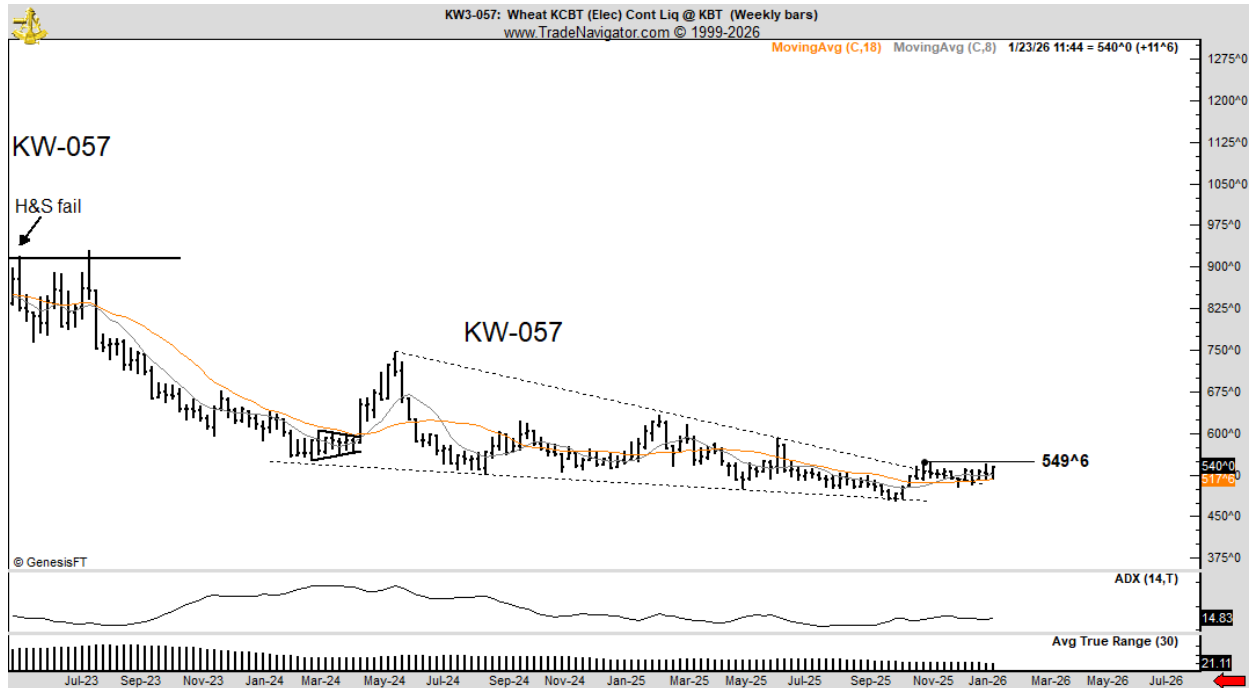
New York Coffee futures

- The chart displays a possible inverted continuation H&S pattern, but the right shoulder is a possible H&S top pattern
- While my bias is MUCH higher based on the bigger view of the chart, I would be willing to short a unit based on the H&S top pattern on the right side of the chart



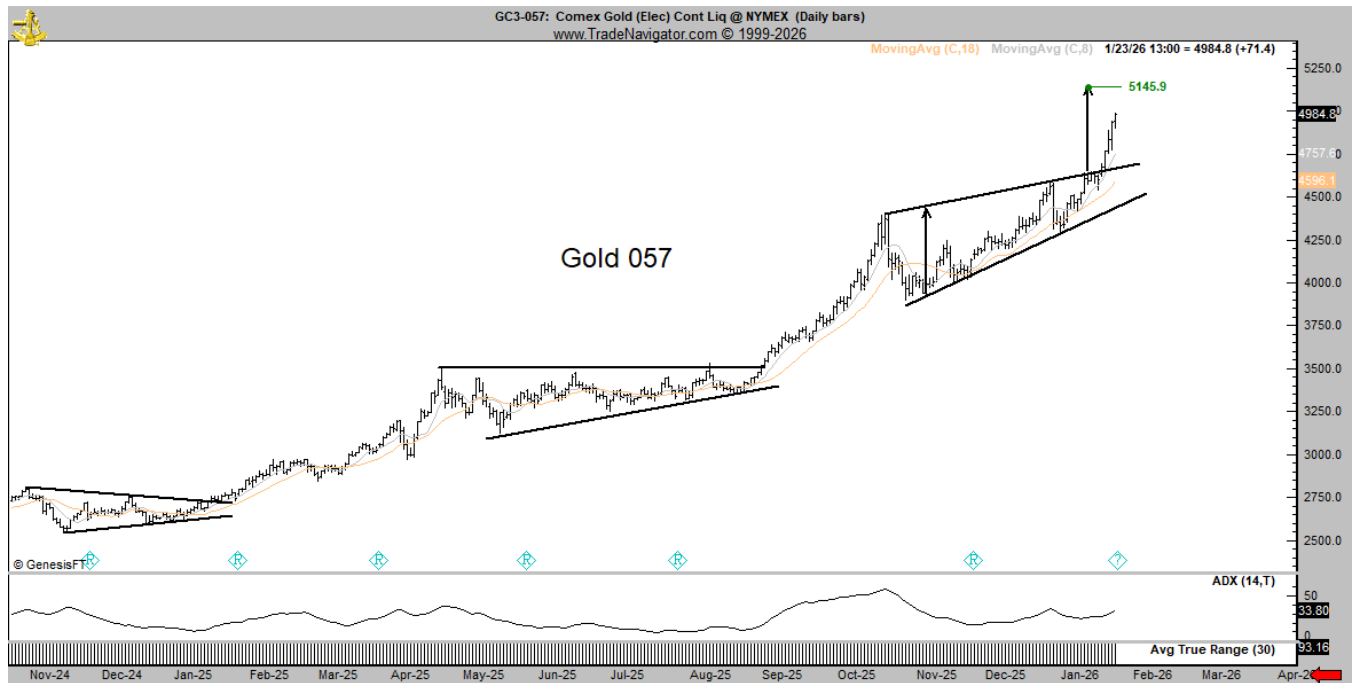
Kansas City Wheat futures

- This is the variety of Wheat used in breads
- Weekly continuation chart displays massive falling wedge
- Daily chart now completing a Chair with Ottoman pattern
- Factor is long a unit
- I might be jumping the gun on this trade
- Important bottoms in grains can last for years

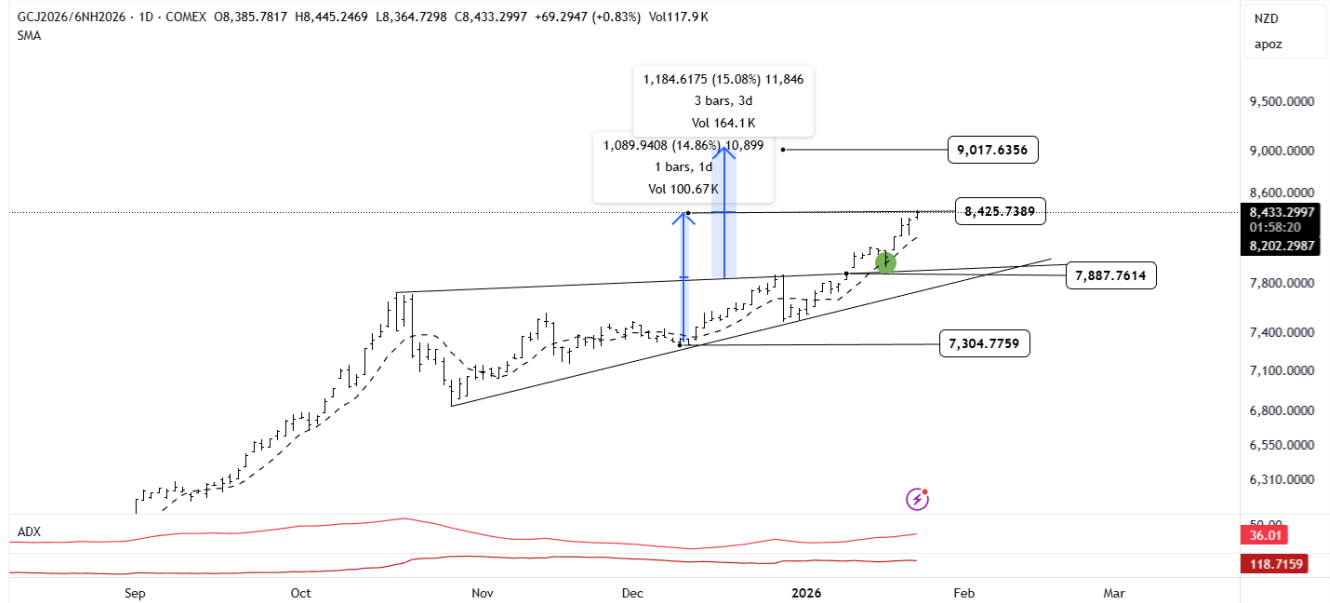


Gold futures

- The pattern on both charts is a running wedge
- Factor was long a unit in Gold denominated in NZD (bottom chart). The target was met and I covered half of the unit, so now long the remaining half of a unit
- Factor is long a unit of long Gold vs. USD (top chart)



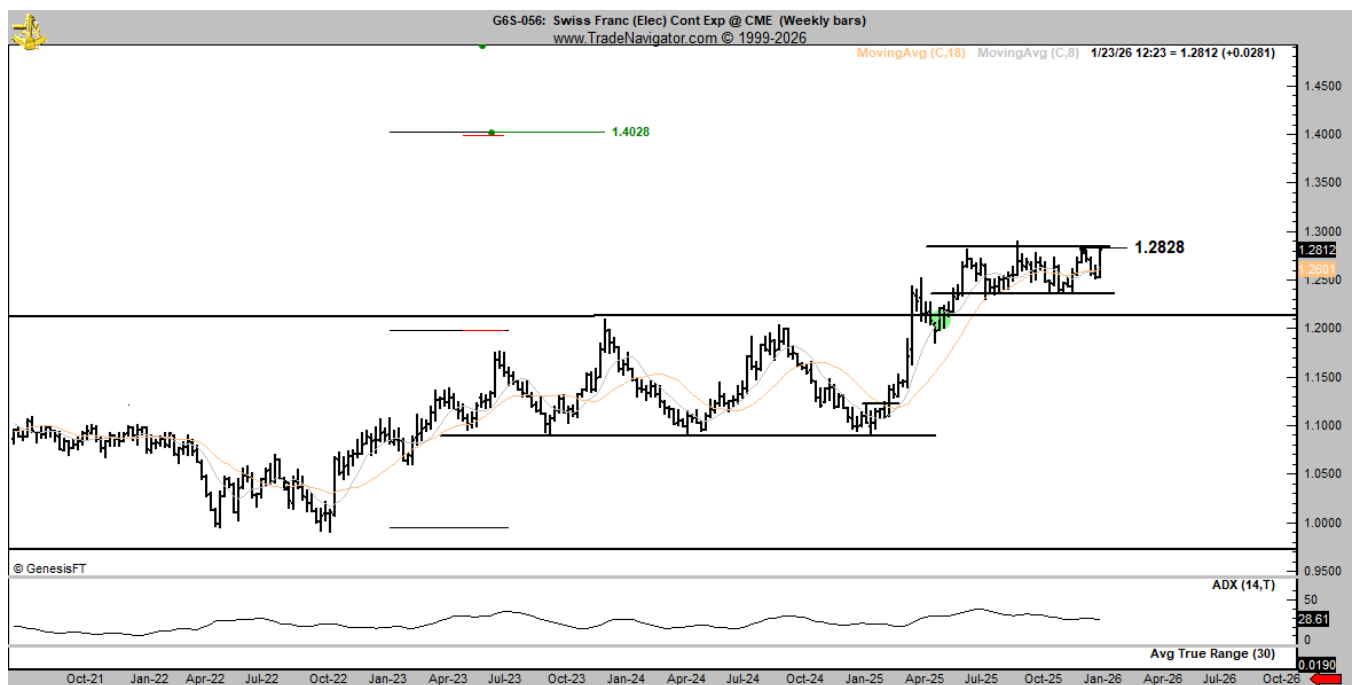
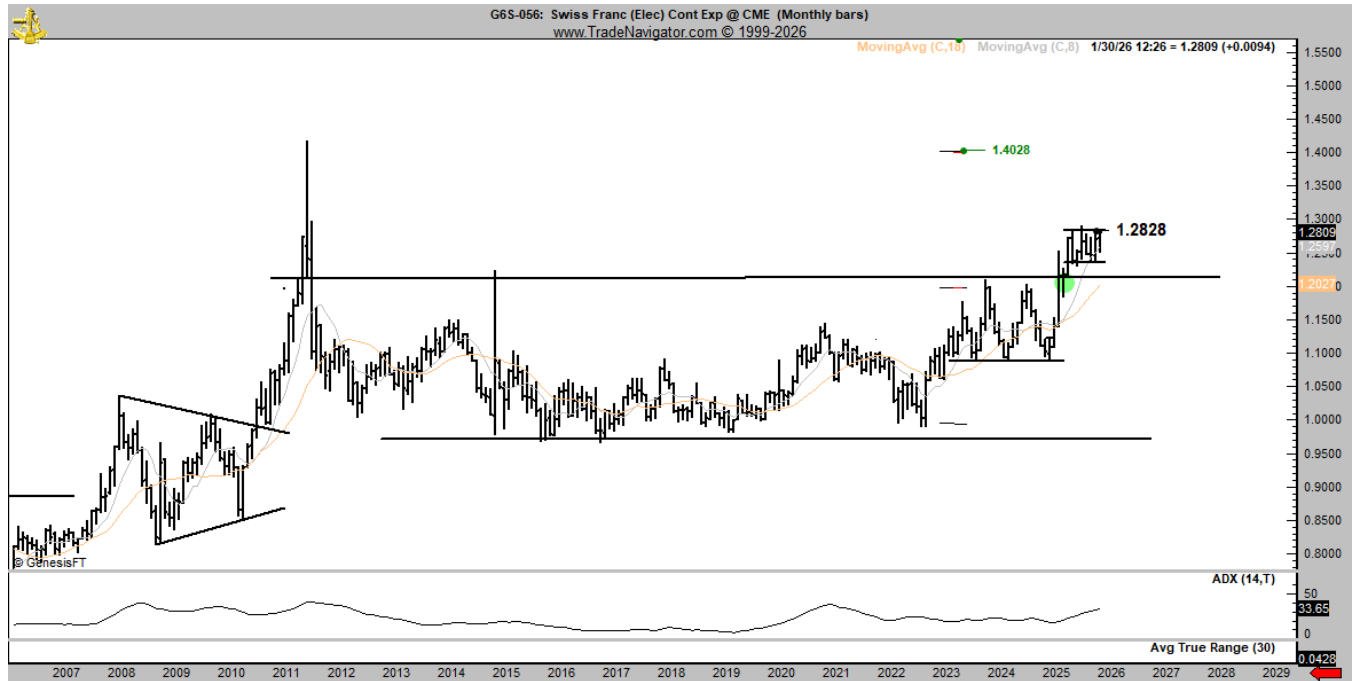
PeterLBrandt created with TradingView.com, Jan 23, 2026 20:01 UTC



TradingView

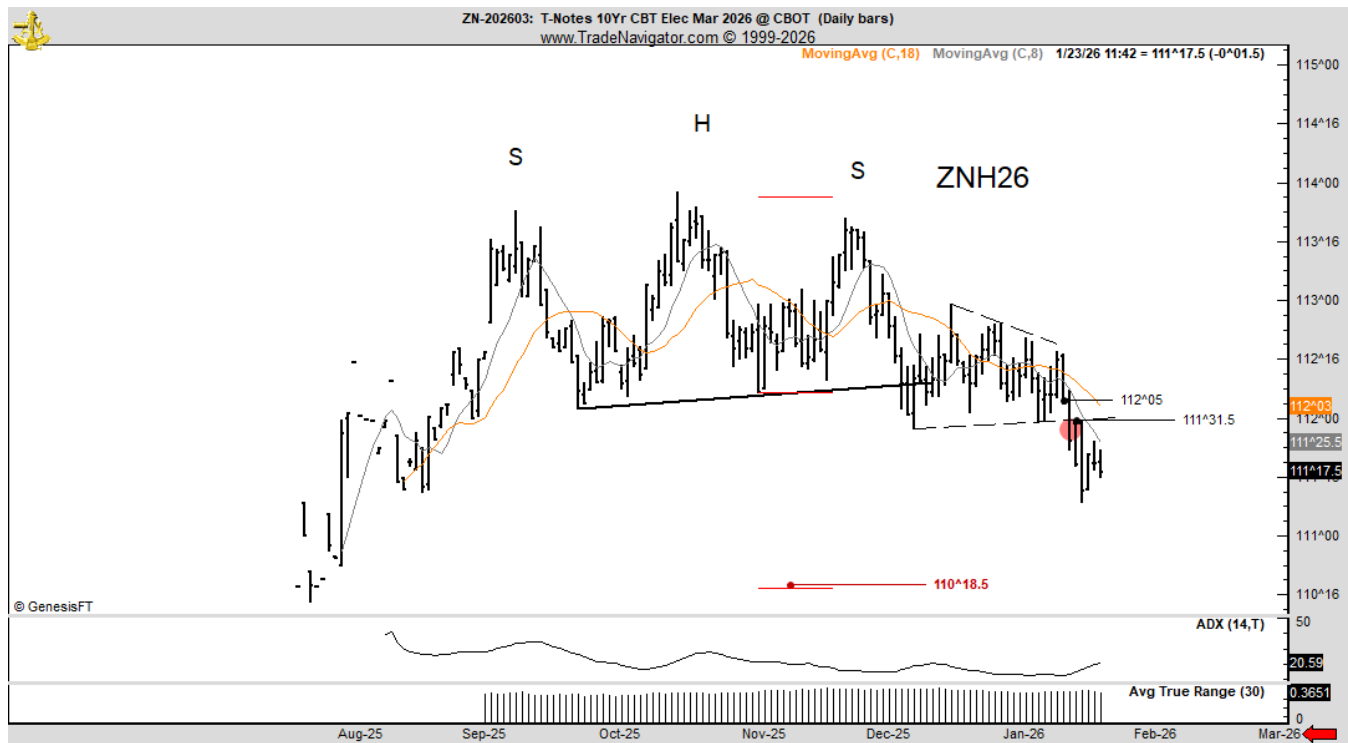
Swiss Franc futures

- Factor is long a unit and will buy another on new highs
- This trade has massive upside potential – very asymmetric R:r profile
- Hedge funds are the big short, Commercial the are the big long
- Daily chart = 6-month rectangle
- Weekly chart = giant springboard
- The big risk is intervention by the CHF Central Bank, The SNB has ruined many bull runs in the past



Treasury futures

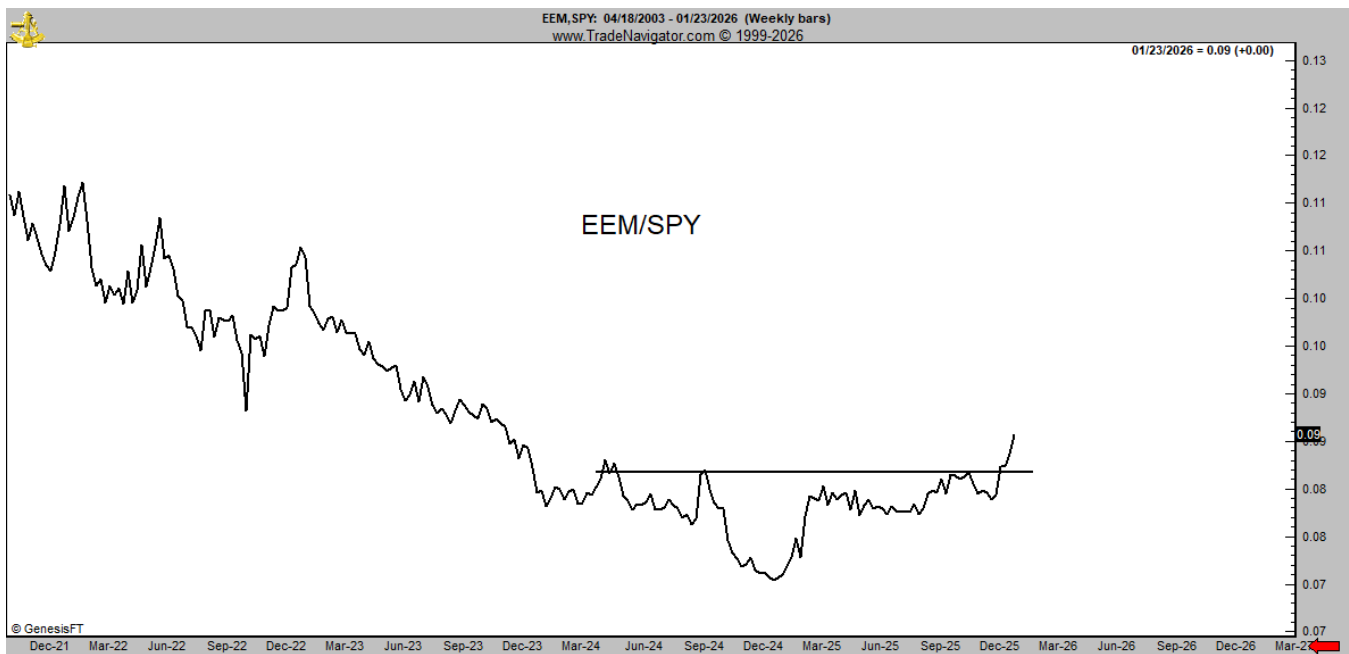
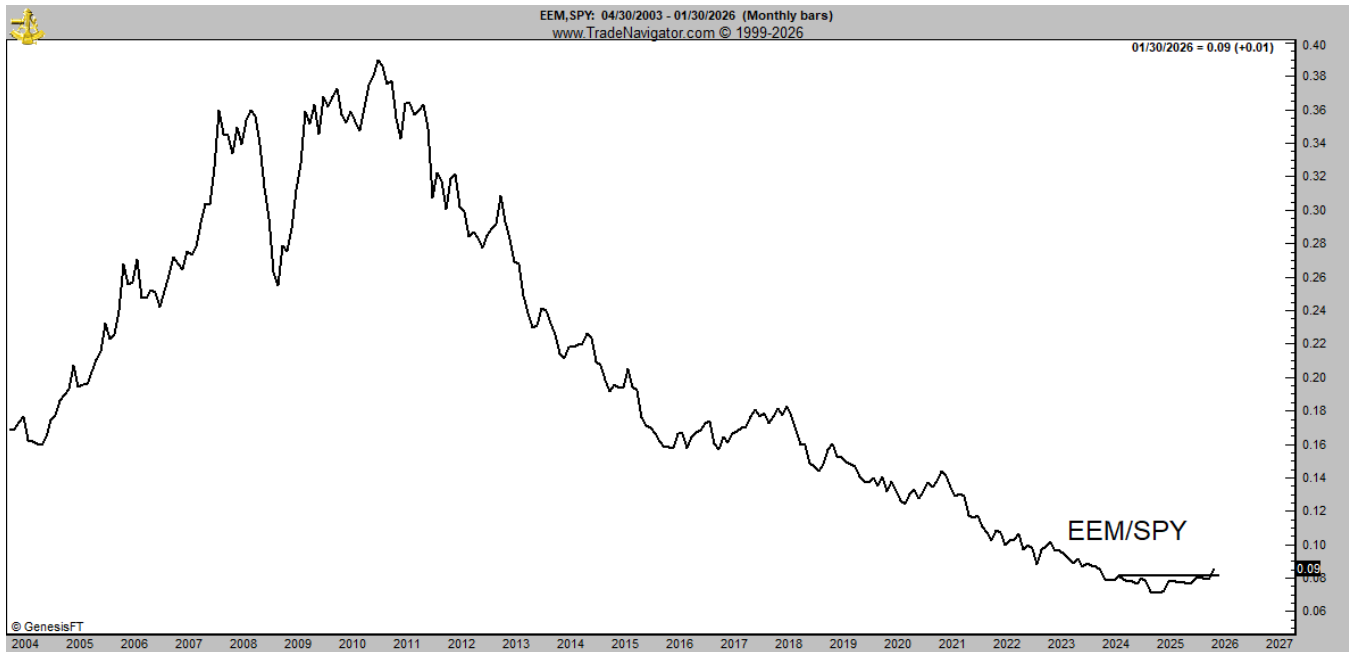
- Factor is short a unit of the 10-Yr Notes
- The pattern was a H&S top with a deep retest via a symmetrical triangle
- Ultras could be poised for shellacking
- Inflation appears to be far from over





EEM vs SPY

- This chart does NOT pertain to a possible futures trade, but to a re-balancing of equities in my retirement accounts. I believe EEM should greatly out-perform U.S. equities in the period ahead.



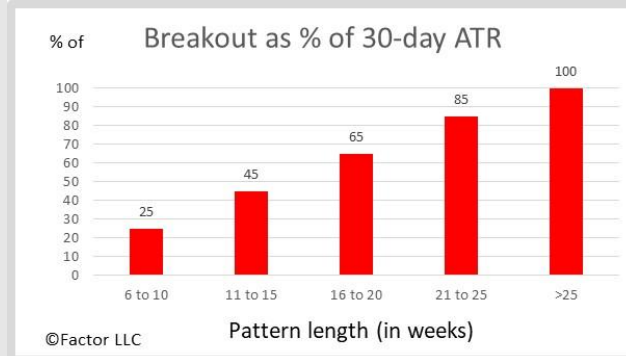
For the video version of this Factor Update Video click here:

<https://www.loom.com/share/c847c4e0cc3845c48b9128c8a05f266e>

Just a reminder about ATR breakout levels

To determine an entry stop order I undergo the following process:

1. Identify the breakout level (e.g., a right shoulder high of a H&S bottom)
2. Determine the length of the pattern (in **weeks**)
3. Find the 30-day ATR of the latest day within the pattern
4. Multiply the 30-day ATR by the appropriate % of the weekly length of the pattern (e.g., the adjusted ATR for a 13-week H&S bottom would be 45% of the 30-day ATR)
5. Add (long pattern)/subtract (short pattern) the adjusted 30-day ATR to the breakout level. This becomes the entry stop level.



Trading commentary – Swing trading

People have different definitions. As for myself as a swing trader in the futures markets, swing trading looks like this:

- Positions held from a few days (for losses) to a few weeks and even a few months in rare exceptions.
- Intent is to catch sustainable short-term trends and then move onto the next trade.
- Targets on trades are seldom more than 10-15% of the underlying asset value.

I evolved as a swing trader for three major reasons:

- As a new trader with limited capital, I could not afford to tie up trading capital in markets that were not moving.
- I hate having to make the same dollar again. Risk-adjusted RORs is my compulsion. I like to make profits – I hate giving money back (I am referring here to closed trade NAV).
- Trading was the source of my living starting in 1981. I had to take money from my account to pay bills. The possibility of 50% drawdowns was something I had to purge from my trading approach.

Why my focus is on Profit Factor, Calmar and limited drawdowns rather than on maximizing ROR?

It's easy folks. If you shoot for the moon to upwardly explode the value of your trading account, then plan for the to make the same \$\$ over and over and over again. It is far easier to build the value of an account in increments over time by holding onto to gains. It is easy to make money trading – the challenge is to keep what you make.

Factor's trading approach in a nutshell

- Futures are the ideal asset class for swing trading
- Identify clear classical chart patterns (preferably on weekly charts and most preferably horizontal patterns)
- Enter with ATR breakout stops
- Risk no more than 35 to 40 basis points per unit (70 to 80 BPs per trade)
- Protect open profits (if they develop) like a banshee
- Try to achieve a BE trade within a week or so
- Take at least partial profits at targets

###